

Acme Widgets (A): The Pricing Decision

In March 2026, Dana Kim, chief executive of Acme Widgets, faced a decision that would shape the company for a decade. Gross margin had fallen from 41 percent to 33 percent over three years while unit volume grew by a third.

Acme sold industrial fasteners to two customer segments: original equipment manufacturers, who bought on annual contracts, and distributors, who bought on spot terms. Distributors now accounted for 58 percent of revenue but only 31 percent of contribution.

The board had asked Kim to present a plan by the June meeting. Three options were on the table: raise list prices across the board, introduce a tiered pricing structure, or exit the distributor channel entirely.

Kim was worried that a blanket increase would hand share to Beta Fasteners, whose new plant in Ohio had come online in January with capacity equal to a quarter of the North American market.

Exhibit 1: Selected Financial Data (fiscal years ending December 31)

Revenue: 2023 \$412 million; 2024 \$468 million; 2025 \$531 million.

Gross margin: 2023 41.0 percent; 2024 37.2 percent; 2025 33.1 percent.

Operating expenses as a share of revenue: 2023 22.4 percent; 2024 23.1 percent; 2025 24.8 percent.

Working capital days: 2023 61; 2024 74; 2025 89. Inventory accounted for most of the increase, reflecting distributors' demand for next-day availability.

Net debt to EBITDA: 2023 1.1x; 2024 1.8x; 2025 2.6x. The revolving credit facility carried a covenant of 3.0x.

The Sales Organization

Acme's 140 sales representatives were paid a base salary plus commission on revenue, not contribution. Several senior representatives told Kim privately that a tiered structure would be impossible to explain to customers.

The head of distribution sales argued that exiting the channel would strand \$60 million of inventory and trigger penalty clauses in eleven logistics contracts.

Kim wondered whether the real question was not price but cost to serve, and whether Acme understood its own economics well enough to make either call.

Discussion question: What should Kim recommend to the board, and what would she need to believe for that recommendation to be right?